

— -ECONOMIC IMPACT-

# Sport Finance & Economics

*SPM 261 Introduction to Sport Management*

## What is Economic Impact?

*“The net economic change in the incomes of host residents that results from spending attributed to a sports event or facility”  
(Howard & Crompton, 2003, p. 105)*

# Business of College Football & Economic Impact

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01 <http://www.youtube.com/watch?v=ouQJJ4mP4hl>

02 [http://www.youtube.com/watch?v=-0-mcx\\_2-r8](http://www.youtube.com/watch?v=-0-mcx_2-r8)

# What is Economic Impact? Cont.

— SPORTING EVENTS HAVE BOTH DIRECT AND INDIRECT IMPACTS ON THE ECONOMY OF A HOST COMMUNITY.

## *Direct Impact*

- The first round effect of visitor spending (e.g., local goods and services such as food, hotel, gas, retail purchases, concessions, and parking).

# What is Economic Impact? Cont.

— SPORTING EVENTS HAVE BOTH DIRECT AND INDIRECT IMPACTS ON THE ECONOMY OF A HOST COMMUNITY.

## *Indirect Impact*

- Ripple effect of recirculating the visitors spending through the community (e.g., additional staff hired, supplies for retailers).

# Why have economic impact studies been done?

- 01 To investigate the cost and benefits of an economic endeavor or financial investment to examine if it is worthwhile
- 02 To use the results of an economic impact study to influence legislators and lobby for more legislative support
- 03 To increase public awareness of the importance of the sport industry

# What Is a Premise of the Three Reasons?

- 01 To justify the
- 02 Use of residents' taxes = Public subsidies

# The Rationale for Economic Impact Analysis



# The Rationale for Economic Impact Analysis

START

Community Residents Pay Taxes

Outflow of Funds

To the City Council

Which uses them to subsidize  
development of Sports Facilities  
or Events

That Attract Out-of-Town Visitors

Who Spend Money in the Local  
Community

Creating Income and Jobs in the  
Local Community

For Community Residents Who  
Pay Taxes

FINISH

Inflow of Revenues

SOURCE — (Howard & Crompton, 2003, p. 105)

# How to Measure Economic Impact?



# See the handout



# Method

## — EX-ANTE ANALYSIS

- 01 (1) The number of visitors an event is expected to draw +
- 02 (2) The number of days each visitor is expected to stay +
- 03 (3) The amount each visitor will spend each day
- 04 Crowding out effect
- 05 Leakages
- 06 Direct Effect

# Method cont.

## — EX-POST ANALYSIS

- 01 (1) Per capita income
- 02 (2) Employment
- 03 (3) Sales tax collection
- 04 More appropriate for the mega-sporting events

# What are common findings?

— Little/minimal effect

## Who would like to see heavy numbers on the results of EI?



01 Athletic Departments

02 Leagues

03 Team Owners

04 Event Organizers

05 Sports Boosters



# Local governments

## — WHY ARE LOCAL AND STATE GOVERNMENTS WILLING TO PROVIDE SUBSIDIES?

- 01 Residents of many metropolitan areas believe pro sports franchises validate the worth of the community as a major league city.
- 02 Constructing a facility help to maintain political support for the expenditure from local labor unions, contractors, and property owners.

# See the Article



# The large public spending on sports facilities or teams has been controversial.

— AGREE OR DISAGREE WITH THE LARGE PUBLIC SUBSIDIES?

# An Alternative Rationale for the Public Subsidy of Sports Facilities



## An Alternative Rationale for the Public Subsidy

*“Proponents of public subsidies are required to demonstrate that there are alternate spillover benefits which are sufficiently large to justify subsidies” (Crompton & Howard, 2004)*

## An Alternative Rationale for the Public Subsidy cont.

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01 Agree or Disagree with the large public subsidies?

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02 Increased Community Visibility

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03 Enhanced Community Image

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04 Psychic Income

# An Alternative Rationale for the Public Subsidy cont.

— INCREASED COMMUNITY VISIBILITY

01 Agree or Disagree with the large public subsidies?



# An Alternative Rationale for the Public Subsidy cont.

— INCREASED COMMUNITY VISIBILITY



# An Alternative Rationale for the Public Subsidy cont.

— ENHANCED COMMUNITY IMAGE

01 Manchester

02 Madrid

03 Milan

04 Barcelona



# An Alternative Rationale for the Public Subsidy cont.

## — PSYCHIC INCOME

- 01 Focuses internally on a community's existing residents
- 02 How can you measure the psychic income?
- 03 Contingent Valuation Method (CVM) → "How much are you willing to pay to support a new facility for a sports team?"

# Tampa Bay Rays



<https://www.youtube.com/watch?v=E1TGPlzOolc>

— <https://www.youtube.com/watch?v=E1TGPlzOolc>

# Tampa Bay Rays cont.

- 01 Opened March 3, 1990
- 02 Operated by Tampa Bay Rays since 1998
- 03 100% Public Financing (\$115M)
- 04 Renovations (\$85M)
- 05 79% Public Financing
- 06 21 % Private Financing
- 07 Owned by City of St. Petersburg
- 08 Naming rights: Tropicana (1.5M through 2019)
- 09 Rays' contract with St. Petersburg ends in 2027



## Tampa Bay Rays cont.

- 01 Nearly 92 wins per year since 2008 and participating in the postseason three times, including World Series in 2008.
- 02 Their 0.565 winning percentage over the last five years is second among all American League clubs and third in all of Major League Baseball.
- 03 The 30 major league clubs averaged nearly 2.5M in total attendance; the Rays, who finished a 90-72 record, drew 1.5M.
- 04 The team's low attendance might force the league to contract, eliminating the Tampa Bay franchise.
- 05 "Tropicana Field is not a sustainable long-term option"



## Tampa Bay Rays cont.

*“Tropicana Field is not a sustainable long-term option”*

01 Performance

02 [https://www.espn.com/mlb/standings/\\_/season/2015/group/overall](https://www.espn.com/mlb/standings/_/season/2015/group/overall)

03 Attendance

04 <http://www.espn.com/mlb/attendance>



# Tampa Bay Rays cont.

|                                        | Market Size<br>(Total Population) | Population<br>within 30 min<br>drive | Households<br>within 30 min<br>drive | Employees<br>within 30 min<br>drive | % pop<br>within 30<br>min |
|----------------------------------------|-----------------------------------|--------------------------------------|--------------------------------------|-------------------------------------|---------------------------|
| <b>Cincinnati</b>                      | 2,102,990                         | 1,233,185                            | 503,681                              | 822,841                             | 59%                       |
| <b>Cleveland</b>                       | 2,132,590                         | 1,424,512                            | 588,376                              | 918,080                             | 67%                       |
| <b>Denver</b>                          | 2,422,370                         | 1,902,363                            | 767,354                              | 1,148,878                           | 79%                       |
| <b>Kansas City</b>                     | 1,994,110                         | 1,303,160                            | 521,183                              | 806,382                             | 65%                       |
| <b>Milwaukee</b>                       | 1,838,060                         | 1,245,266                            | 507,363                              | 823,158                             | 68%                       |
| <b>Minneapolis</b>                     | 3,244,080                         | 2,063,690                            | 836,555                              | 1,508,170                           | 64%                       |
| <b>Phoenix</b>                         | 4,048,400                         | 2,265,450                            | 803,120                              | 1,180,625                           | 56%                       |
| <b>Pittsburgh</b>                      | 2,401,310                         | 1,192,470                            | 510,058                              | 738,409                             | 50%                       |
| <b>San Diego</b>                       | 3,033,940                         | 1,921,564                            | 695,075                              | 988,722                             | 63%                       |
| <b>Seattle</b>                         | 3,289,520                         | 1,563,313                            | 674,595                              | 1,091,342                           | 48%                       |
| <b>Tampa Bay<br/>(Tropicana Field)</b> | <b>3,247,200</b>                  | <b>615,722</b>                       | <b>277,252</b>                       | <b>408,341</b>                      | <b>19%</b>                |

# Tampa Bay Rays cont.

- 01 Nov. 2007- Rays announce plans for \$450M waterfront, open-air stadium at Al Lang Field.
- 02 May 2008- Revealed the financing plan.
- 03 \$150M – Stuart Sternberg (owner)
- 04 \$70M – Sale of Tropicana Field
- 05 \$100M – Pinellas County tourist development tax
- 06 \$75M – City of St. Petersburg
- 07 \$55M – From parking fee revenues
- 08 May 2009 - Rays abandoned all plans for a ballpark on the St. Petersburg waterfront, preferring a location nearer the center of Pinellas County to the north.



# Tampa Bay Rays cont.

— ST. PETERSBURG MAYOR, BILL FOSTER (2011)

*“At present, there is no plan by the city of St. Petersburg for the design and construction of a new baseball facility in Pinellas County.”*

— Current St. Petersburg Mayor: Rick Kriseman (since 2014)

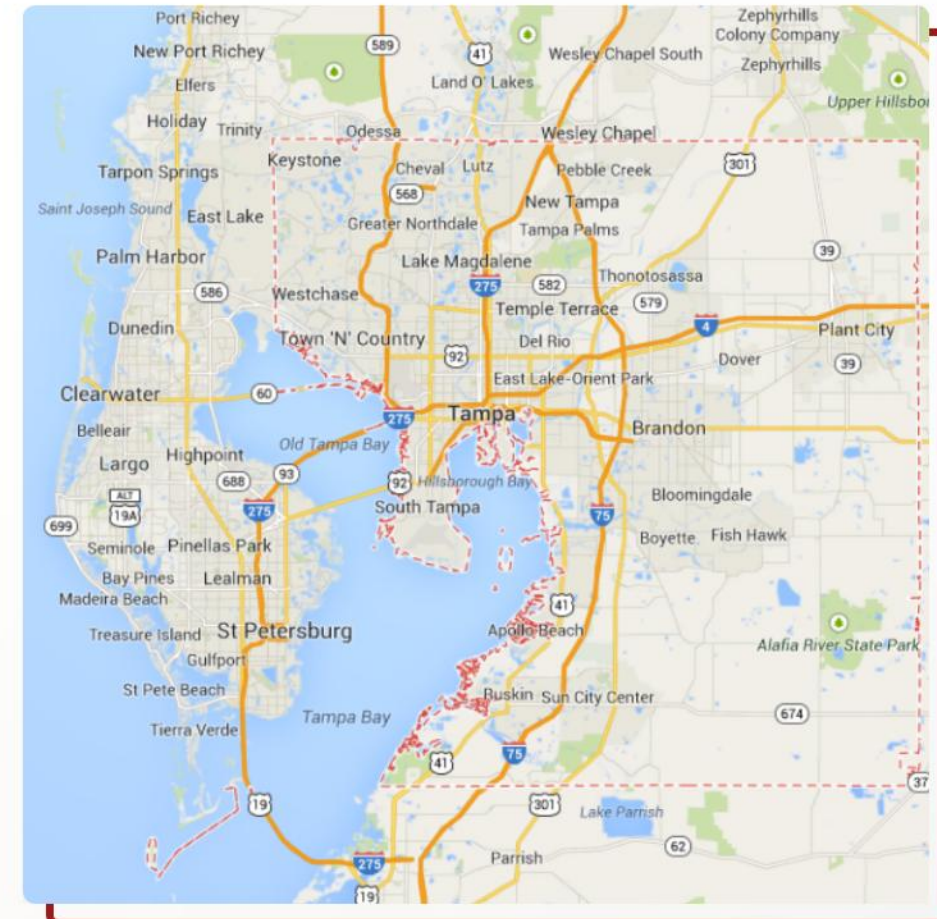


## Tampa Bay Rays cont.

- 01 Rays like to move from their current location in downtown St. Petersburg, to another location in Hillsborough or Pinellas county.
- 02 <http://www.youtube.com/watch?v=E1TGPlzOolc&feature=related>



# Agree or Disagree with the large public subsidies?



Pinellas county · Hillsborough · St. Petersburg suggested · Rays consider

# Tampa Bay Rays cont.

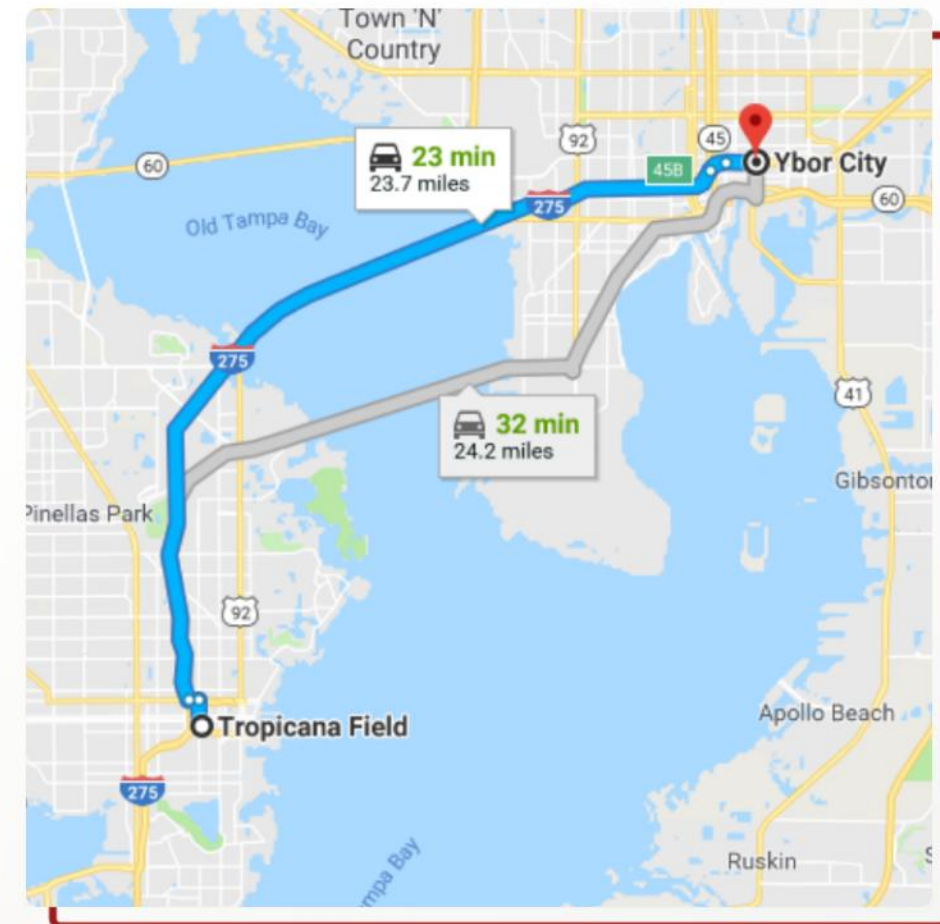
- 01 City Council Public Hearing on all aspects of Rays proposal :  
Opponents and supporters unleashed their first impressions of the Tampa Bay Rays' \$500 million stadium and redevelopment plan to the City Council

- 02 [http://stpete.granicus.com/MediaPlayer.php?publish\\_id=169](http://stpete.granicus.com/MediaPlayer.php?publish_id=169)



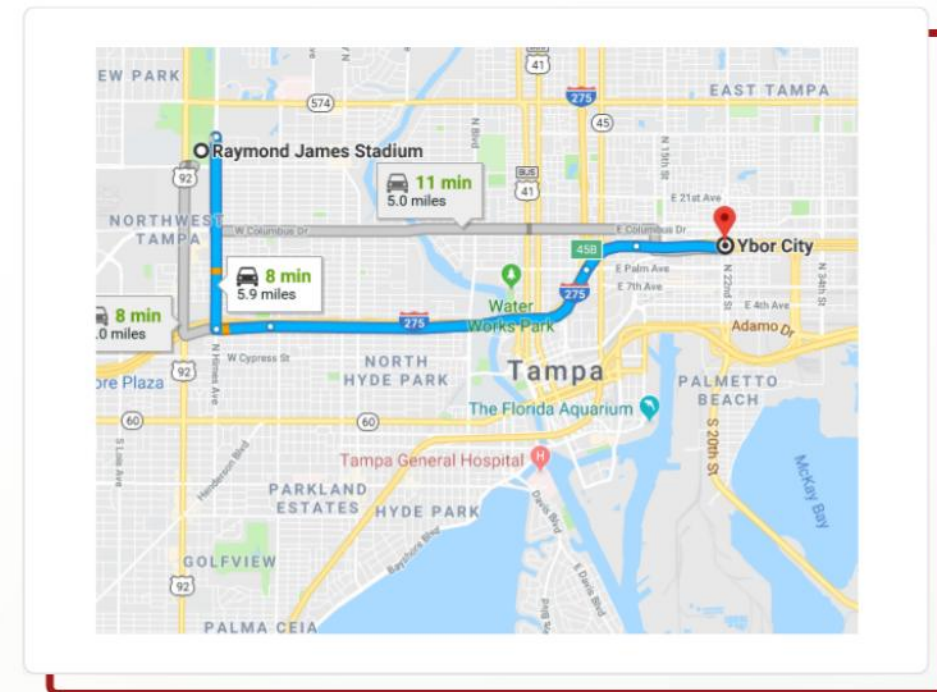
# Tampa Bay Rays cont.

- 01 In 2018, Tampa Bay Rays officially announce plans to move the team to Ybor City.
- 02 <https://www.youtube.com/watch?v=uvA2OeX6z8w>
- 03 [https://www.youtube.com/watch?v=LvbbwPT\\_SaQ](https://www.youtube.com/watch?v=LvbbwPT_SaQ)



# Tampa Bay Rays cont.

- 01 Plan to build a Ybor City ballpark
- 02 Estimated price- \$892 million (\$809 million- ballpark, \$83 million for infrastructure)
- 03 Capacity- 30,842



# Tampa Bay Rays cont.

- 01 In 2020 Rays plan...
- 02 Dual city concept with Tampa & Montreal



# Tampa Bay Rays cont.

— IN 2022

— MLB denies Rays' 'Sister City' proposal

# Tampa Bay Rays cont.

— IN 2023 SEP

- 01 St. Petersburg
- 02 New \$1.3 billion ballpark
- 03 -Rays more than 50%
- 04 -City & county \$600M
- 05 <https://www.mlb.com/news/rays-st-petersburg-ballpark-agreement>



# Tampa Bay Rays cont.

— IN 2025 JULY

- 01 St. Pete City Council officially terminates stadium deal with Tampa Bay Rays
- 02 <https://www.yahoo.com/news/articles/st-pete-city-council-officially-235113099.html>



# Tampa Bay Ray's new owners found a home

— IN 2026 SEPTEMBER

- 01 Patrick Zalupski and Ken Babby teamed up to tackle the stadium problem and transform the franchise
- 02 Stuart Sternberg (owner after 2005) sold the team to an ownership group led by Florida-based business executive Patrick Zalupski (Jacksonville based home builder, Dream Finders Homes Inc.)



# Tampa Bay Rays cont.

- 01 2026- \$1.7 billion
- 02 2005- \$200 million



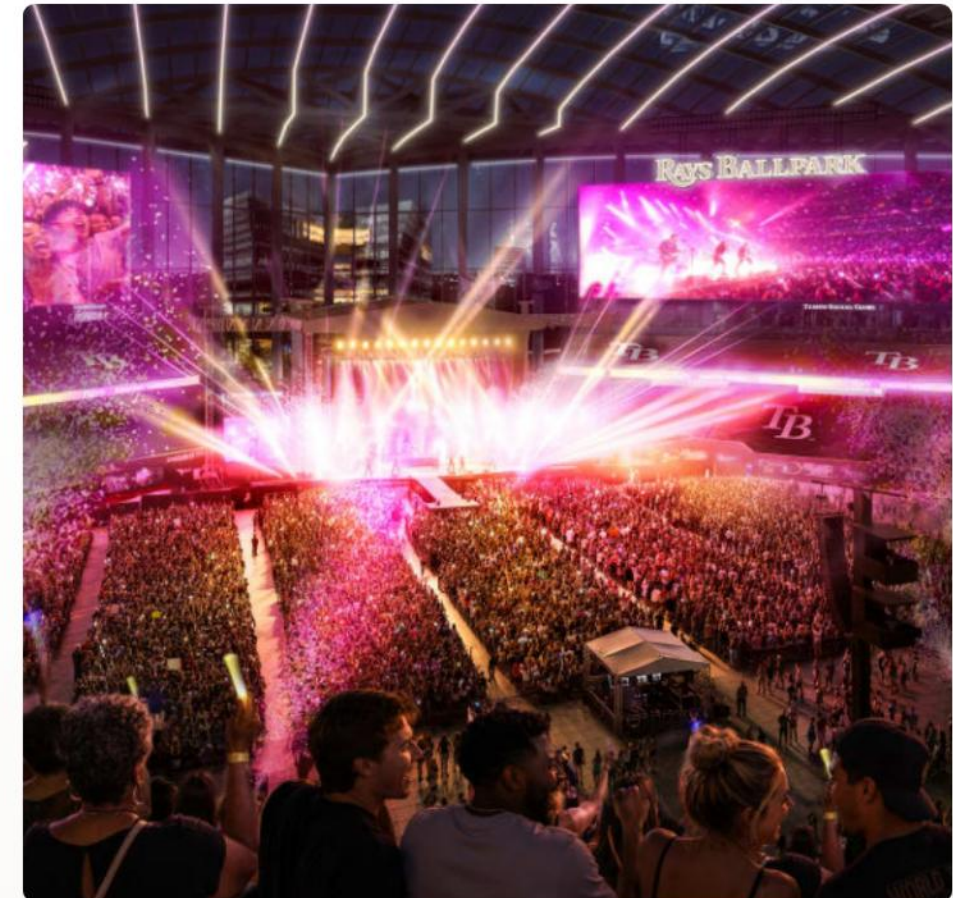
# Tampa Bay Rays cont.

- 01 Hurricane Milton shredded Tropicana Field's roof in October 2024
- 02 St. Petersburg undertook a \$59.7 million repair



# Tampa Bay Rays New Stadium

- 01 In late August, Tampa and Hillsborough County approved a \$2.36 billion, 31,000-seat ballpark on the campus of Hillsborough College, with the Rays committing \$1.37 billion plus cost overruns.
- 02 \$796 million from Hillsborough County
- 03 \$80 million from Tampa
- 04 Another \$30 million will come from federal disaster recovery funds
- 05 35 Years non-relocation agreement
- 06 Opening Day 2029



How can you differentiate between local residents and visitors (i.e., non-local residents)?

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# Agree or Disagree with the large public subsidies?

— QUESTIONS?